

Article | 18 September 2026

FX RATES UNITED STATES

Why we've changed our Fed and ECB calls

After hawkish decisions this month, we now expect a rate hike from both the European Central Bank and Federal Reserve in December. We now also expect the US 10-year yield to end the year above 5%



Fed Chair Kevin Warsh and ECB President Christine Lagarde. We now expect rate hikes from both central banks in December

We've updated our central bank views

As central bank watchers, we know that predicting what central banks will do is not always the same as what they should do. Wednesday's Fed meeting and last week's ECB meeting have shown us that both central banks are not likely to follow the very dovish path we anticipated. This is why we have changed our calls for the Fed and the ECB, now expecting them both to hike rates one more time before year-end.

In the past, students of monetary policy learnt that it is almost always the Fed leading new cycles of monetary easing or tightening. As a good rule of thumb, Europe, whether via the ECB or, previously, the Bundesbank, would typically follow three to six months later. Perhaps we can blame globalisation, more integrated economies and financial markets or simply the same exogenous shocks, but whatever the reason, this time around presents one of those rare occasions when the ECB is actually leading the Fed.

For the next few months, both central banks seem set to move in tandem. This comes as no surprise, given that both central banks are facing the same dilemma: a supply-side shock

driven by surging energy prices that has so far produced only limited knock-on effects across the broader economy, set against still-fresh memories of the 2022 inflation surge and delayed central bank responses. At the same time, both the US and eurozone economies show an almost unexpected resilience, though to different degrees.

The much longer-lasting war in the Middle East has not only pushed energy prices to new highs, but also increased the risk that inflation could spread more broadly in the economy. This is why we now expect the Fed and the ECB to hike once more, in order to prevent these knock-on effects from materialising.

If energy prices remain higher for even longer, i.e., into 2027, and/or these knock-on effects materialise faster, both central banks could be forced to hike further. However, this is not our base case scenario, even after our forecast revisions. Our more dovish take, based on a reopening of the Strait of Hormuz before year-end and the fact that firms will not be able to pass through higher costs to consumers, still holds.

Our updated central bank forecasts

	Spot (18 Sep)	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	1Q28F	2Q28F	3Q28F	4Q28F
Central bank rates (%)											
US (Upper bound)	4.00	4.00	4.25	4.25	4.25	4.25	4.00	3.75	3.50	3.50	3.50
Eurozone (deposit rate)	2.50	2.50	2.75	2.75	2.75	2.75	2.50	2.50	2.50	2.50	2.50
UK (Bank Rate)	3.75	3.75	3.75	3.75	3.75	3.50	3.50	3.25	3.25	3.25	3.25
10-year bond yields (%)											
US	4.95	5.00	5.10	4.90	4.75	4.60	4.50	4.50	4.50	4.50	4.50
Germany	3.50	3.50	3.40	3.30	3.25	3.10	3.10	3.10	3.10	3.20	3.20
UK	5.26	5.20	5.30	5.20	4.80	4.60	4.55	4.50	4.50	4.50	4.50
EUR/USD	1.1480	1.15	1.16	1.16	1.18	1.19	1.20	1.22	1.22	1.22	1.22

Source: ING

Our new Fed call: One more hike

We had switched to expecting a September Fed rate hike in the wake of Chair Kevin Warsh's hawkish Jackson Hole address, but characterised it as a likely one-off recalibration move akin to the single hike delivered by Alan Greenspan's Fed in 1997. However, the fact that only two FOMC members believe the central bank won't hike again this year suggests a broader hawkish repositioning has already occurred within the committee.

This has not been driven by economic data. The low-hire, low-fire labour market is keeping a lid on wage growth, which in turn should limit the scope for second-round price effects from higher energy costs. Meanwhile, tariff-related cost increases have largely worked through, with IEEPA tariff refunds providing a cash flow boost to corporate America. The largest component of inflation, shelter, is also looking less threatening, with the stagnant property market contributing to cooling housing rent metrics. We also remain sceptical of so-called "chipflation" given the small weighting within the inflation basket for impacted categories of goods and the

fact the US uses hedonic pricing, which incorporates quality improvements into price calculations.

Instead, it appears the Fed is increasingly focused on accelerating the pace at which inflation converges on the 2% target, fearing the protracted conflict in the Middle East will keep energy-impacted components elevated for longer and risk broader cost increases if left unchecked. We now expect this to mean at least one more rate rise.

In terms of timing, there are two more meetings this year. The first is 28 October, but we only have one round of jobs and inflation data between now and then; the proximity to the mid-term elections on 3 November could also prove a complicating factor. Unless the September jobs numbers and inflation data are very hot – which would leave little choice on a hike – we suspect the Fed would prefer to wait until 9 December.

Only 4 of 18 FOMC members anticipate the need for two hikes this year, but eight do expect a second hike next year. That is going to be contingent on the energy story. Our assumption of a Middle East de-escalation, improved energy flows, and lower prices over the next six months would likely mean an additional hike would not be needed – and as such, we forecast a peak of 4.25% followed by a prolonged pause.

Economic growth remains resilient, but the hefty upward moves at the long end of the yield curve will act as a brake on economic activity in an environment where real household disposable incomes have flatlined for 18 months. There are already signs of consumer stress in the form of low savings rates and rising credit card and auto loan delinquencies to levels last seen during the Global Financial Crisis. The lack of business capex growth outside of the tech sector also underscores the concentration risk within the US economy right now. As a result, we tentatively suggest we could start to see the Fed reversing course again from late 2027, particularly if energy prices are experiencing significant falls by then.

Our new ECB call: A December rate hike

Last week's ECB was not outright hawkish but more subdued and subtle hawkish. Christine Lagarde's downplaying of the concept of neutral interest rates can be seen as a way to prepare the grounds for further hikes. The fact that the staff projections see headline inflation only dropping below 2% in Q4 2027, while at the same time core inflation is expected to increase slightly were also hidden hawkish messages. At the same time, though, there are currently no signs of knock-on effects from higher energy prices. The risk is high that the ECB's own models are not fully capturing structural shifts and are overestimating the broadening of inflation in the economy.

Still, oil prices above 100 USD/bbl and the ECB still regretting its too late response to the inflation shock in 2022 are likely to push the ECB towards another rate hike before year-end. A hike that would still fall in the category 'insurance rate hike', with an increasing risk that

unwarranted damage to the economy could be done.

Looking beyond the next hike, we still think that market expectations of at least two more hikes in 2027 are overdone. It won't take a lot to undermine the picture of eurozone resilience. A picture that is too obvious also painted in the last ECB projections. GDP growth estimates of 0.3% to 0.4% quarter-on-quarter throughout 2027 and 2028 look highly optimistic. We wonder whether there shouldn't be more of an adverse effect on growth from higher oil prices and higher interest rates. Already next week's sentiment indicators (PMIs and Ifo) could change the picture of unbreakable resilience.

As long as there is only very limited spreading of the energy price shock to the rest of the economy, there is very little reason for the ECB to continue hiking next year. Every additional rate hike increases the risk of an unwarranted slowdown of the economy. If we are right and oil prices come down towards the end of this year and knock-effects from higher energy prices remain limited, we don't see additional rate hikes in 2027. If we are wrong, the story could clearly change.

Our Bank of England call: A hold in November (just)

We're sticking to our Bank of England call, which is that rates stay on hold into 2027. But this is entirely contingent on energy prices coming lower.

The Bank is still visibly reluctant to hike rates, partly because there's no sign of second-round effects, and partly because rates are more obviously restrictive than in other economies – particularly with the degree of tightening priced into financial markets.

But at its September meeting, the Bank made it abundantly clear that it's getting harder not to act. It has indicated that at current energy prices, inflation is likely to narrowly top 4% early next year, if only briefly. And the Bank has said previously that 4%+ inflation is statistically more likely to trigger a wider and more persistent price shock.

If that forecast is maintained at the November meeting because energy prices have failed to come down, then we would expect a BoE rate hike. In that scenario, we'd expect a follow-up hike in the spring.

That 4% inflation forecast is not inevitable. A lot of it rests on the uprating of the regulated energy price cap in January, which in turn depends on average natural gas prices over an 'observation window' between mid-August and mid-November. If nothing changes, we're looking at a 25% increase in energy bills at the start of 2027, but we're only a third of the way through that window. A fall in gas prices would temper that increase and therefore the overall peak in headline inflation.

Given our call for natural gas and oil prices to move lower through 4Q, we think our existing call for the Bank of England to keep rates on hold into 2027 is still valid for now. We are, however,

pushing back our forecast for the first rate cut to 3Q next year.

Rates: Direction to come from US Treasuries (10yr from sub-5% to 5.25% to 4.5%)

We've nudged higher anticipated end-year 10yr bond yield forecasts. It's a subtle move, but significant in the sense that it brings into play some key levels. In the US, the key number for the 10yr is now 5.1% at year-end, while for the eurozone we're in the 3.5% area for long-tenor rates. These levels are not wildly different from where we are now, but importantly, leave open the risk that some overshooting can occur in the intermediate period. That's a particular theme for the US 10yr where we've already closed above 5% twice in recent days. We're back below now, but we identify ongoing upside pressure for US long rates as a theme in the coming months. The eurozone has tended to share such moves, and will maintain a tendency to do so. Japanese long rates too should remain under pressure, and the same obtains for long-dated UK Gilts.

Front ends have been pricing in sequences of rate hikes for some time now, across all four major central banks. Specifically, so-called "carry spreads" (official rates to the 2yr) in the 75bp to 100bp range signalled market readiness for the delivery of a "few" hikes by central banks, without specificity on timing. This remains the case, with carry spreads of 65bp, 75bp, 90bp and 95bp for the ECB, Fed, BoE, and BoJ respectively. Think of neutrality at around 30bp, and anything above that as an implied market rate hike discount. The actual delivery of rate hikes is important, as it validates the prior evolution of carry spreads and, in turn, acts as a calming influence for long-end rates. We saw some of that play out as the Fed hiked by 25bp and intimated more. It helped calm long-end inflation expectations and take the US 10yr yield back below 5%.

However, even if inflation expectations have nudged lower, there are other pressures that long ends need to contend with. The first is issuance pressure, or more pertinently, the medium-term issuance narrative stemming from fiscal largesse; we can throw in long-duration hyperscaler issuance as a contributing factor, too. That's the "bad". Then there's the "ugly", in the guise of ongoing energy price pressure stemming from the Iran war. And there is the "good". Higher real rates have been an important driver, and a part of this likely incorporates AI-driven productivity growth. If that last bit was the central driver, we'd have little to worry about. But it's the other, more sinister factors that have predominantly sparked long-end market jitters. There's no doubt that central bank rate hikes help calm such jitters – but they do not make them disappear.

It took some time, but markets have finally developed a laser focus on deteriorating debt dynamics and medium-term financing concerns, particularly in the US. It's not impossible that we get through the coming months without another significant move higher in long-end yields. However, the balance of probabilities suggests there is at least one more leg of long-

end weakness still to play out. In an extreme scenario, this could take US 10-year yields into the 5.25% to 5.5% range. Other markets would likely move in tandem, mapping out similar, albeit less dramatic, blow-outs. Thereafter, we would expect a period of calm, particularly through 2027, as inflation ultimately heads lower. But first, we need to get through 2026.

FX: Short-term downside risk, but EUR/USD profile unchanged

EUR/USD currently has three primary drivers: short-term rate differentials, oil prices and global risk sentiment. Let's look at how these can change and impact the pair in the coming quarters based on our updated views.

1. **Short-term rates (neutral impact).** The EUR and USD swap rate curves look quite similar in their front-end segment – the most relevant one for the currency market. In both countries, rates are expected to be around 70-80bp above current levels at the end of 1H27. While we've revised our central bank calls higher, we remain firmly more dovish than those expectations. One hike each for the ECB and the Fed means similar dovish repricing in both curves in the next couple of quarters. The short-term rate impact on EUR/USD should therefore remain close to current levels into year-end and then gradually tighten throughout 2027. That implies an initially neutral and then gradually positive impact on EUR/USD.
2. **Oil prices (positive impact).** The premise of our dovish rate calls relative to the market is that oil prices will come lower and take the pressure off central banks. Our commodities team still targets an \$80/bbl average for 4Q26. While the oil-EUR/USD correlation can weaken in an energy price decline, it should support the pair on the margin.
3. **Risk sentiment (positive impact).** With the caveat that tech-related jitters can re-emerge at any time, the decline in short-term USD funding costs included in our forecast normally has a positive knock-on effect on FX liquidity and global market sentiment. Lower oil prices would also help in that direction. We expect a positive impact on EUR/USD in our baseline.

Taking all the above into account, we aren't changing our forecast for year-end in EUR/USD: 1.160 is fully in line with the scenario outlined for these drivers according to our calculations. However, risks are more skewed to the downside in the coming weeks.

We feel that the Fed's hawkishness has left EUR/USD more vulnerable, and 1.140 can certainly be tested, with risks extending to the 1.132 June lows if oil prices jump again and the Fed hikes rates in October. Looking at 2027, risks are also on the downside relative to our latest [forecasts](#), which included a move to 1.20 by year-end. That's due to the highest carry attached to USD after two more hikes. That said, if markets start to price in Fed cuts late next year, a broad-based dollar decline remains very possible.

Author

Carsten Brzeski

Global Head of Macro

carsten.brzeski@ing.de

James Knightley

Chief International Economist, US

james.knightley@ing.com

James Smith

Developed Markets Economist, UK

james.smith@ing.com

Padhraic Garvey, CFA

Regional Head of Research, Americas

padhraic.garvey@ing.com

Benjamin Schroeder

Senior Rates Strategist

benjamin.schroeder@ing.com

Francesco Pesole

FX Strategist

francesco.pesole@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct

THINK Economic and financial analysis

Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 16 September 2026

FX RATES UNITED STATES

Federal Reserve hikes 25bp, suggests another to come

The Federal Reserve raised the policy rate 25bp and signalled they may raise rates a second time before a long hold throughout 2027.

Nonetheless, we see more labour slack than the Fed and remain a little more optimistic on the inflation backdrop. If we see a resumption of energy flows from the Persian Gulf, the situation would favour a "one and done" outcome



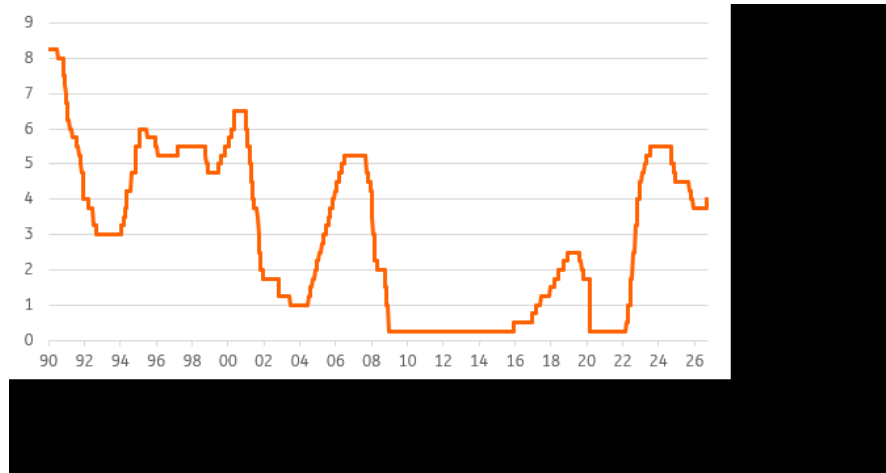
Fed Chair Warsh at today's press conference in which interest rates were raised by 25bp

Fed hike to "support a timelier return" of inflation to target

The Federal Reserve has hiked rates 25bp to a target range of 3.75–4%, as widely expected. Markets had moved to swiftly price such an outcome in the wake of Chair Kevin Warsh's hawkish Jackson Hole address, with subsequent hotter-than-anticipated jobs and core inflation data merely making it a formality.

The decision was unanimous and the press release was brief, as it has been after all three decisions under Warsh's leadership. Economic activity is "solid", but uncertainty and inflation remain "elevated". Nonetheless, today's decisions will "support a timelier return to the Committee's 2 percent goal".

Fed funds ceiling rate (%)



Source: Macrobond, ING

Fed points to one more hike followed by a long hold

In terms of the guidance, the central projection within the Fed's summary of economic projections has one more rate hike this year, in line with market pricing, with the central range holding at 4.125% through 2027. They then have the mid-point of the Fed's funds target range at 3.875% for 2028 and 3.625% for end-2029 and 3.25% for the "longer run". This is a higher profile range than they projected in June, but is below the market pricing of three additional 25bp hikes.

Federal Reserve's economic projections

	2026	2027	2028	2029	Longer run
Change in real GDP (4Q YoY%)	2.3	2.4	2.2	2.1	2.0
Previous Fed projection (June)	2.2	2.3	2.2	-	2.0
Unemployment rate (% year end)	4.1	4.1	4.1	4.1	4.2
Previous Fed projection (June)	4.3	4.3	4.2	-	4.2
Core PCE inflation (4Q YoY%)	3.4	2.5	2.2	2.0	2.0
Previous Fed projection (June)	3.3	2.5	2.1	-	-
Federal funds rate (year end)	4.125	4.125	3.875	3.625	3.25
Previous Fed projection (June)	3.8	3.6	3.4	-	3.1

Source: Federal Reserve, ING

Within the actual dot plot there are only 18 submissions, suggesting Kevin Warsh again declined to offer a view. Only 2 of the 18 FOMC submissions had no further rate hike this year, suggesting strong backing for another move, and similarly, there are only 4 of 18 that expect to see any sort of rate cut next year. There are 8 of 18 expecting the policy rate mid-point to be 4.375% (2 additional hikes) by end-2027. So this is a more hawkish Fed than in June with them revising up inflation and growth and revising lower unemployment projections despite

the data trends suggesting it should be the other way round - in our view.

Indeed, our growth, inflation and jobs forecasts suggest little need for further rate hikes, and it may well be that the Fed are striking a hawkish line in order to build more credibility with bond markets as they look to support Treasury efforts to anchor the long end of the curve.

One and done remains our call

Ordinarily the assumption is that if the Fed hikes, they don't move just once, and indeed their forecast table does have a further hike pencilled in. However, this time around we think it may end up being a one-off. While August's jobs number was a healthy 162,000, between January 2025 and July 2026 the monthly average increase was a measly 31k with hiring indicators suggesting a reversion to that far slower growth rate is likely. Furthermore, while the unemployment rate is low at just 4.1%, the worker participation rate has plunged a full percentage point since early 2025. This suggests there is worker disengagement and more slack in the jobs market than looking at the unemployment rate alone indicates. It is hard to argue against that when wage growth is running at just 3%.

That weak wage growth will be helpful in keeping inflation in check and with the inflationary impulse from tariffs largely incorporated – and IEEPA tariff refunds being a cash flow boost – lower cost pressures here help mitigate higher energy and fuel costs. Furthermore, the shelter component, with a 35% weighting in the CPI basket, should continue to moderate given the stagnant property market and cooling private sector rents. The key uncertainty is energy and the lack of progress surrounding oil and gas flows from the Strait of Hormuz, which has meant headline disinflation has stalled. Nonetheless, our geopolitical assessment is that the situation will improve, and oil prices will resume their declines later in the year, which will rapidly improve the inflation backdrop.

Given market and consumer inflation expectations remain in check, we see parallels with the late 1990s – cuts in early 1996 before a pause, then a one-off 'risk management' hike enacted by Alan Greenspan's Fed in March 1997 before a long pause through late 1998.

The Fed calms the back end, but we'd not be getting too comfortable on it ahead

Ahead, we maintain a bearish stance on long rates despite the calmness post the decision, as a 25bp hike does not materially change the dynamics that have hampered long rates in recent months. Inflation remains high, as does the fiscal deficit, as is wider issuance. And the AI productivity-driven narrative remains in place. The odds see the 10yr yield breaking back above 5% in the days and weeks ahead. If so, the market will begin to settle at above 5%, and ponder the 5.25% to 5.5% range as an area that is perfectly attainable in light of the still quite loud mood music that has been driving long-end yields.

Delivery of the anticipated 25bp hike, by definition, should not have a material effect. The back end initially took the decision very fine, with yields steady in the 4.95% area, although it had shown a mild bias to test lower, as had been the theme through the morning into the decision. What helped here was the price action of previous days that saw the 10yr yield get above 5%, and indeed close above 5%, thus ticking off the need to necessarily have that reaction post this decision. Chair Warsh will be pleased that the breakout of the 10yr yield shows a moderate fall in inflation expectations, which telegraphs a nod of approval from the market to the hike as an inflation containment one. The 10yr real yield is a tad higher as an offset.

Also, the 30yr yield is a tad richer vs SOFR, although not by much. Even though the 30yr yield is still higher than it was before Treasury Secretary Bessent's buyback announcement, it's well below the subsequent highs. And it's clinging on to a 4bp richening versus SOFR compared with the pre-buyback announcement level. At the other end of the curve, the 2yr was a tad spooked by the unanimity shown by the committee on the hike (Chair Warsh voted for the hike too), and the implied priming for another hike from the dot plot. So, the 2yr yield is up 10bp to almost 4.7% post the decision. And the curve is flatter, mostly from the front end, and the 2/10yr Treasury yield curve is back below 30bp. The 5yr is flat on the 2/5/10yr fly though, suggesting that if there are more hikes, it should not be many.

Nothing of note on the plumbing, apart from noting ample bank reserves, suggesting a degree of comfort with balance sheet circumstances. Which is fair. We await the outcome of further deliberations in this space by the end of 2026, with the yet-to-come prescribed action to be taken from 2027.

FX: Hawkish hike reinforces dollar momentum

The Fed's message of policy discipline is likely to raise the bar for de-basement trades to re-emerge anytime soon. That should limit downside risks for the dollar, leaving it better placed to benefit from supportive external drivers. As long as energy prices remain firm, we see little reason to fade the current USD appreciation trend.

With the door still open to additional tightening, the dollar also retains upside risk around upcoming data releases. Strong prints could bring hike expectations forward to October, where markets currently price 11bp.

EUR/USD broke below 1.150 after the announcement, and there is little in the way of obvious support before the 1.1330-1.1360 area, where the June decline found a floor. That is likely the extent of near-term downside risk. Our forecast remains more optimistic, albeit heavily reliant on an improvement in the Gulf situation and rapid oil decline by year-end. We target 1.150 for end-September and a modest bump to 1.160 by year-end.

Author

James Knightley

Chief International Economist, US

james.knightley@ing.com

Padhraic Garvey, CFA

Regional Head of Research, Americas

padhraic.garvey@ing.com

Francesco Pesole

FX Strategist

francesco.pesole@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 10 September 2026

ECB remains focused on the here and now

At today's press conference, ECB President Christine Lagarde didn't give away any hints about what will be next for the central bank. Details of the ECB's staff projections, however, have left a hawkish aftertaste



Today's meeting left a slightly hawkish aftertaste, but we still struggle to envisage the ECB being willing to add more fuel to the fire

Lagarde's comments at today's press conference stressed that the ECB remains on high alert but also indirectly admitted it is in no better position than anyone else in financial markets; the only thing that's currently clear about the outlook (for monetary policy) is that nothing is clear. In other words, the outlook for the ECB's monetary policy remains highly dependent on both the external environment (mainly energy prices) as well as the pass-through of high energy prices into the rest of the economy.

Today's rate hike was a no-brainer

Even if the ECB doesn't like the term, today's rate hike decision – which brought the central bank's deposit rate to 2.5% – still falls into the category of an 'insurance' rate hike. Or, to put it in terms the Bank might prefer, it is a hike to stay ahead of the curve, demonstrating the ECB's high level of vigilance, and an attempt to prevent higher energy prices from feeding through to the broader economy.

While the stage was set for a rate hike, even under a more benign energy price outlook, the recent escalation in the Middle East and surge in oil prices have clearly strengthened the case for an increase. This is despite the fact that other inflation measures, like core and services, as well as survey-based inflation expectations, still suggest there are hardly any second-round effects from higher energy prices.

This picture is reflected mainly in the latest round of staff projections, which show inflation unchanged at 3% this year. For 2027 and 2028, the inflation forecast was revised upwards to 2.5% and 2.1%, respectively. Core inflation is expected to come in at 2.5%, 2.6% and 2.3% in 2026, 2027 and 2028, respectively. Growth was revised upwards slightly to 0.9% this year and 1.4% in 2027 (and 1.5% in 2028). Looking at the quarterly profile of the forecasts, inflation would only drop below 2% by the end of 2027. In the ECB's mild scenario, inflation would already be below 2% by the second quarter of 2027 – but in an adverse scenario, it would remain close to 3% by the end of 2028. Still, don't forget that the recent surge in bond yields and oil prices has not been fully incorporated into these forecasts.

Hawkish aftertaste

Considering the latest developments, today's rate hike wasn't controversial; it was almost a no-brainer. In light of higher actual and projected headline inflation, bringing the policy rate to the upper end of the range that the ECB itself calls 'neutral' did not pose any risk of being too activist or too restrictive. Even if Lagarde tried to downplay the concept of neutral interest rates during the press conference, at least as a guiding concept. In any case, the harm of doing nothing, at least for the ECB's credibility, is clearly more significant here. However, looking beyond today's hike paints a very different picture and is much more complicated.

Going further would mean that the ECB sees restrictive monetary policy as necessary. But there is a big difference between an economy that has shown resilience and an overheating economy that needs restrictive monetary policy. However, we have to admit that, looking at the ECB's staff projections, forecasting inflation above target for too long and the fact that these forecasts are based on interest rates pricing in between one and two more rate hikes, the risk of at least another rate hike is high. The counterargument to that view is that, with the highly volatile situation in energy markets, oil prices could also easily swing back in the other direction – which, in turn, would lead to significant changes in the ECB's inflation forecasts. In other words, if the situation in the Middle East were to ease before year-end and any indirect effects from higher energy prices remain absent, the need for the ECB to deliver additional rate hikes would disappear.

All in all, today's meeting left us with a slightly hawkish aftertaste. Even if we still find it hard to see – amid public finance woes and surging bond yields – that the ECB would really be willing to add more fuel to the fire. In other words, it's difficult to envisage the ECB being willing to risk a recession to tackle what is still a textbook supply-side shock. Admittedly, though, the ECB has made policy mistakes before.

Author

Carsten Brzeski

Global Head of Macro

carsten.brzeski@ing.de

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 22 September 2026

RATES SPARK

Rates Spark: Asymmetric relationship between oil and rates

Markets are following a similar pattern as before, which means euro rates don't follow oil back down as quickly as they followed on the way up. This limits the downside potential we see for euro swap rates in the near term. Slowing growth could push back against hawkish pricing, but in our baseline we see eurozone economic resilience



With oil prices easing of late, euro rates have not followed back down as quickly

Asymmetric reaction to oil keeps rates higher

Oil prices have eased from the recent highs, but the short end of the euro curve sticks to a relatively hawkish outlook. The last time oil hovered around \$100, the 2Y swap rate was some 20bp lower. This is a familiar pattern, whereby up and down movements in oil have an asymmetric impact on rates. When oil prices hit new highs, the inflation impact leaves a lasting impact on inflation expectations, limiting the rate moves on the way down.

The asymmetric oil impact means the downside to euro rates could be limited over the near term. The European Central Bank keeps striking a hawkish tone, which supports the steep hiking profile. Also, the growth outlook remains robust, with eurozone PMIs mostly above 50 points. Having said that, we do anticipate some economic headwinds on the back of higher oil and gas prices. But given the resilience thus far since the start of the Iran war, our baseline remains for the economy to remain robust in 2026 and 2027.

A worsening growth outlook could, however, be a catalyst for a dovish repricing, but also not immediately. Even if we were to see disappointing PMI figures for the eurozone this week, the focus is on inflation. That doesn't mean we can just ignore growth dynamics. The big fear for central banks is that higher inflation materialises through accelerating wage growth. A weakening growth outlook would mitigate this risk. Having said that, the very positive sentiment – see almost record equities – will limit markets' sensitivity to one-off downside growth surprises.

Wednesday's events and market views

The highlight will be country PMIs. The eurozone composite index is expected to tick slightly lower, but remain well in positive territory at 51.7. Consensus also sees relatively strong UK and US PMIs, both well above 50.

In primary markets, Slovakia will syndicate a new 10Y SLOVGB for an estimated €2-3bn. Germany will auction 21Y and 30Y Bunds totalling €2bn. From the US, supply includes a 2Y FRN for \$28bn and a new 5Y Note for \$70bn.

Author

Michiel Tukker

Senior UK & Eurozone Rates Strategist

michiel.tukker@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct

THINK Economic and financial analysis

Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 22 September 2026

THE NETHERLANDS

Dutch hospitality 2026: Consumer caution keeps volume growth flat

Growth in the Dutch hospitality industry is expected to remain weak in 2026 as consumers continue to cut back on their spending. With demand largely stagnant and price increases accounting for most revenue growth, the sector is set to enter its third consecutive year of weak expansion. Hospitality prices are projected to increase by around 5% this year



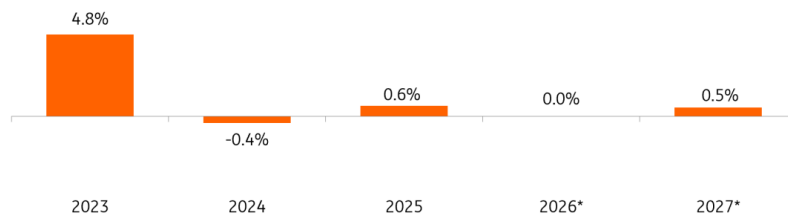
Despite stronger consumer spending in the second quarter, restaurants and cafés have yet to benefit from this trend

Stagnating volume growth in 2026

In 2026, we expect little to no volume growth in the Dutch hospitality industry. Due to rising prices and continued geopolitical uncertainty, consumers are tightening their purse strings this year, just like in 2025. A meaningful recovery remains distant; even in 2027, volume growth is projected to reach only around 0.5%. This suggests that the sector is entering a prolonged period of subdued demand.

Stagnating growth for the Dutch hospitality industry expected in 2026

Volume growth in the Dutch hospitality industry, year-on-year



Source: CBS, *forecasts 2026 and 2027 ING Research

Volume contraction for restaurants and cafés in first half of 2026

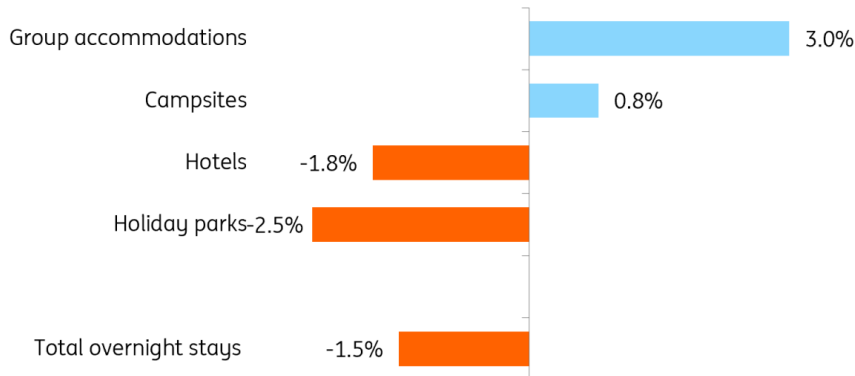
Despite stronger consumer spending in the second quarter, restaurants and cafés have yet to benefit from this trend. ING payment data indicates that sales volumes in the sector fell by 1.6% in the first half of 2026 compared with a year earlier. While turnover increased by almost 3%, this growth was fully attributable to higher prices rather than greater demand. The decline in volumes reflects changing consumer behaviour, with households becoming more selective in their spending. Higher fuel costs and broader economic uncertainty are prompting consumers to reduce discretionary expenses, such as dining out and holidays.

Fewer overnight stays in hotels and holiday parks

The accommodation sector shows a similar trend, with overnight stays declining by 1.5% in the first half of 2026 compared with a year earlier. Holiday parks recorded the sharpest decline at 2.5%, while overnight hotel stays fell by almost 2%. One factor may be the increase in the VAT rate on accommodation from 9% to 21% in January 2026, which has made hotel rooms and holiday homes around 11% more expensive than in 2025. As campsites are exempt from the higher VAT rate, they have strengthened their price competitiveness relative to other accommodation options.

Fewer overnight stays in hotels and holiday parks in the first half of 2026

Development in the number of overnight stays in the Netherlands by accommodation, January - June (2026 vs 2025)



Source: CBS, ING Research

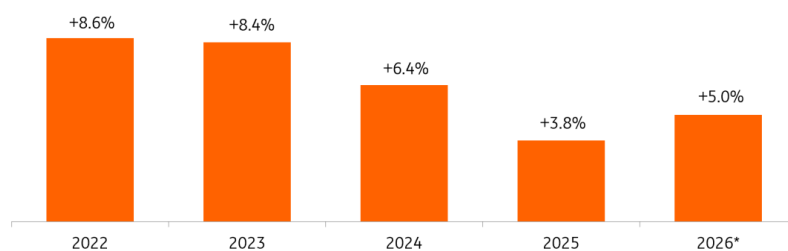
On average, 5% higher prices in 2026

Due to the VAT increase and the resurgence of inflation, hospitality prices are expected to rise by around 5% on average in 2026, following an increase of 4% in 2025. These higher prices reflect continued pressure from rising labour, rental and procurement costs. By the end of 2025, prices in the hospitality industry were on average a quarter higher than in 2022.

However, the scope for further price increases appears to be diminishing. A recent ING survey found that two-thirds of Dutch respondents consider current prices in cafés and restaurants to be excessively high. This suggests that many hospitality businesses may be approaching the limit of what customers are willing to pay, making it increasingly difficult to offset rising costs through higher prices alone.

Hospitality prices expected to rise by 5% in 2026

Consumer price index (cpi) for restaurants and hotels in the Netherlands



Source: CBS, *forecasts 2026 ING Research

Focus on cost control and clear positioning

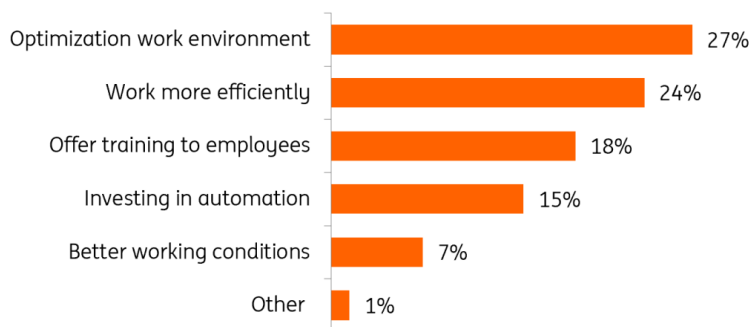
As a result of rising costs and persistent labour shortages, improving labour productivity is becoming increasingly important for many restaurants and cafés seeking to maintain

profitability. Productivity gains can be achieved by further standardising and streamlining operations. Measures include introducing fixed menus, reducing menu complexity, improving inventory management, increasing table occupancy through multiple seating rounds per day, and implementing more efficient workflows in both the kitchen and restaurant service.

On the cost side, companies are focusing on more strategic purchasing and selectively switching to lower-cost alternatives to keep procurement expenses under control. As margin pressure continues to mount, the combination of productivity improvements and tighter cost management is becoming increasingly critical to preserving profitability and long-term earning capacity across the sector.

Restaurants and cafés focus on further streamlining operations to boost productivity

Measures restaurants and cafes take to improve productivity, percentage of businesses, April 2026



Source: CBS, ING Research

The Dutch hospitality industry faces a mixed cocktail of trends

The hospitality sector is navigating a challenging period marked by modest growth, margin pressure and structural change. Restaurants and cafés, in particular, operate in an increasingly competitive market where profitability is under constant pressure, making distinctiveness and strategic focus more important than ever.

An increasingly clear divide is emerging within the sector. On one side are predominantly larger hospitality businesses that successfully adapt to changing consumer preferences and market conditions through innovative concepts and economies of scale. On the other are many smaller companies that struggle to make this transition, often due to limited financial resources, outdated business models or the age and risk appetite of the entrepreneur.

This widening gap is contributing to ongoing dynamism in the sector. More traditional

hospitality businesses are expected to either close or be acquired. As competitive pressure intensifies, strategic investments in innovation, sustainability, cost management, and customer loyalty are becoming essential to ensure long-term viability and resilience.

Author

Katinka Jongkind

Senior Economist, Retail, Services and Leisure

Katinka.Jongkind@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. (“ING”) solely for information purposes without regard to any particular user’s investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 22 September 2026

MANUFACTURING, CONSTRUCTION AND RETAIL THE NETHERLANDS

Revenue growth masks growing pressure on retail profitability in the Netherlands

Dutch retail sales are expected to increase by 3% in 2026, driven by 4.5% growth in e-commerce. Supermarkets and drugstores are gaining online market share at the expense of online-only retailers. At the same time, rising costs and intense price competition are making it harder for retailers to translate sales growth into higher profits



Improved purchasing power is supporting spending, but consumers remain cautious

3% retail sales growth in 2026

Retail sales are expected to increase by 3% in 2026, the same as last year. Consumers remain cautious about their spending, which means growth is modest despite improved purchasing power.

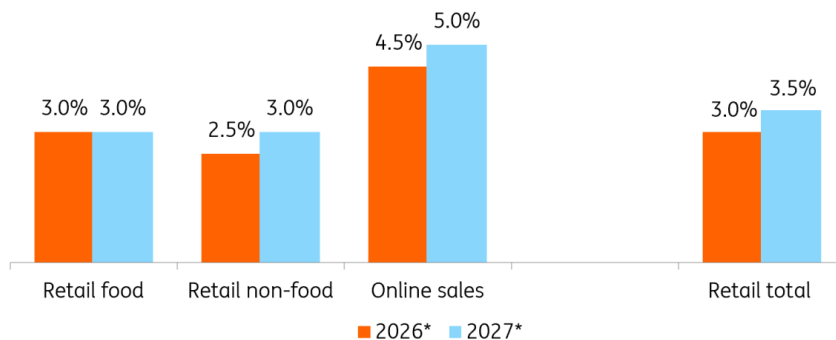
Ongoing geopolitical tensions and the resulting rise in energy and fuel prices continue to weigh on consumer confidence and spending appetite.

Within the retail sector, e-commerce remains the primary growth driver with an expected increase of 4.5%, outperforming food retail (3%) and non-food retail (2.5%). Looking ahead, a

similar growth pattern is anticipated for 2027, broadly reflecting expectations for the Dutch economy as a whole.

Retail sales growth of 3% again in the Netherlands in 2026

Retail sales volumes in the Netherlands in 2026



Source: CBS, *forecasts 2026 and 2027 ING Research

Prices for shoes, furniture and consumer electronics continue to ease

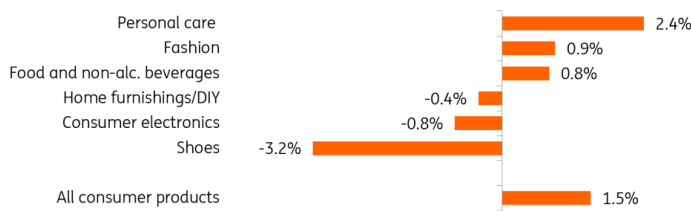
Despite higher energy and fuel costs, consumer goods prices increased by an average of just 1.5% in the first seven months of 2026, down from 2.4% a year earlier. The slowdown was particularly evident in food and non-alcoholic beverages. After prices rose by an average of 4% in 2025, food inflation eased significantly, with prices increasing by less than 1% between January and July 2026.

Price pressures have also moderated across much of the non-food segment. Personal care products, such as shampoo and perfume, became on average 2.4% more expensive, while clothing prices rose by around 1%. In contrast, prices for shoes, furniture and consumer electronics were slightly lower than a year earlier.

However, the recent easing in food inflation is unlikely to last. Drought-related supply disruptions and geopolitical tensions are expected to push food prices higher again later this year. In the non-food segment, price developments are expected to remain broadly in line with last year, with only modest inflationary pressure.

Personal care products, in particular, became more expensive in 2026

Consumer prices (CPI), January to July 2026, year-on-year



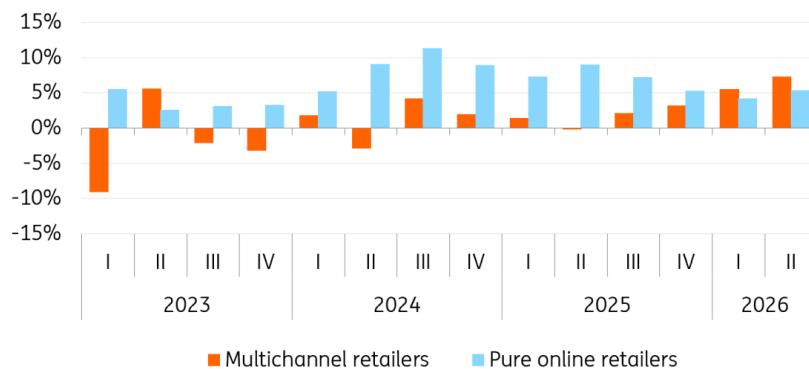
Source: CBS, ING Research

E-commerce steadily expands its market share

With expected turnover growth of 4.5% in 2026, e-commerce remains the retail sector's primary growth engine. Growth is projected to remain robust at around 5% in 2026. While the era of double-digit growth has come to an end, the long-term shift towards online shopping continues. As a result, e-commerce is steadily increasing its share of total retail sales, further strengthening its position at the expense of traditional retail channels.

In 1H26, multichannel retailers outperformed online-only retailers for the first time since 2023

Revenue growth in online sales in the Netherlands, year-on-year



Source: CBS, ING Research

Multichannel retailers outpace online-only retailers

For the first time since 2022, online sales growth among multichannel retailers has outpaced that of online-only retailers. While it is still too early to conclude that a structural shift is underway, the trend suggests that traditional retailers are starting to regain online market share.

This is partly explained by shifting consumer demand. Online spending is currently growing fastest in segments where multichannel retailers have a strong market position, particularly supermarkets and drugstores. In addition, traditional retailers have significantly strengthened

their digital capabilities in recent years through investments in websites, mobile apps, and logistics networks. As a result, they are increasingly able to compete online, combining the convenience of e-commerce with the advantages of an extensive physical store network, such as click-and-collect services, local fulfilment, and in-store customer engagement.

Growth does not automatically translate into profit

While sales continue to grow, market conditions remain challenging for many retailers. Rising sourcing, logistics, and labour costs are increasing pressure across food, non-food, and e-commerce. At the same time, fierce competition and price-sensitive consumers limit the scope to pass these higher costs on. As a result, profit margins remain under pressure and achieving profitable growth is becoming increasingly difficult.

Omnichannel excellence becomes a competitive advantage

In a market where competing on price alone is becoming less sustainable, creating clear customer value is increasingly important. Retailers can strengthen their competitive position through distinctive product offerings, strong private labels, customer loyalty programmes, and a seamless omnichannel experience. Companies that successfully combine cost discipline with clear differentiation are better positioned to maintain pricing power and protect margins in an increasingly competitive retail landscape.

Author

Katinka Jongkind

Senior Economist, Retail, Services and Leisure

Katinka.Jongkind@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. (“ING”) solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In

THINK Economic and financial analysis

the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 22 September 2026

TRANSPORT & LOGISTICS THE NETHERLANDS

Dutch transport and logistics proves resilient amid rising costs, global disruption

The Dutch transport and logistics sector is set for moderate growth into 2027, supported by consumer demand and resilient freight markets. Yet rising costs, trade tensions, geopolitical uncertainty and climate-related disruptions are reshaping transport flows, making pricing power crucial



Domestic demand is holding up relatively well in the Netherlands despite global uncertainty and above-average inflation

Transport & Logistics: Moderate growth, wide differences between subsectors

The Dutch transport and logistics sector is expected to grow by around 1% in 2026 as globally active aviation and maritime shipping performed better than expected. International markets, though, will provide less support **next year**. Nevertheless, global trade remains resilient, while shipping companies continue to benefit from longer trade routes.

Domestic demand is holding up relatively well despite global uncertainty and above-average inflation. This is increasingly visible in **road transport**, where market conditions are improving, and capacity pressures are gradually re-emerging. Consumer spending growth remains an

important driver.

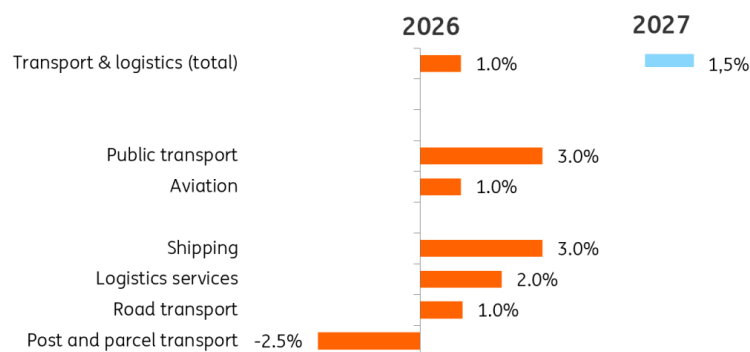
Parcel delivery has moved beyond its strongest growth phase. Following years of rapid expansion, volumes are expected to stabilise. The ongoing decline in postal volumes will push the overall segment into contraction.

Logistics service providers are benefiting from a more volatile trading environment. Supply chain uncertainty has increased the strategic value of logistics expertise, creating opportunities in warehousing, inventory management and supply chain management.

Passenger transport, meanwhile, is expected to perform especially well. Public transport usage has recovered faster than anticipated, supported by a strong spring season and the introduction of summer travel subscription efforts. Part of this increase is likely to prove structural.

Mixed outlook for transport and logistics, with slightly stronger growth in 2027

Expected volume growth of transport and logistics subsectors, % year-on-year



Source: CBS, ING Research

Slightly stronger growth expected in 2027

Sector growth is expected to accelerate modestly to around 1.5% in 2027, supported by a recovery in construction and gradual improvement in the German economy.

Dutch trade is expected to strengthen, although the economy will continue shifting towards services. Meanwhile, investments in the energy transition and AI infrastructure are generating additional freight demand. Globally active shipping companies and Dutch ports can benefit from these developments.

Growth development and forecast transport and logistics sectors

Growth in % per year					
	2025		2026		2027
	Volume	Turnover	Volume	Turnover	Volume
Transport & logistics	2.7%	4.4%	1.0%	10.0%	1.5%
Road transport	1.4%	4.8%	1.0%	15.0%	1.5%
Public transport	1.5%		1.0%		1.0%
Rail goods transportation	-4.0%		-3.0%		-2.0%
Shipping	8.9%	2.3%	3.0%		0.5%
Aviation*	5.9%	3.9%	1.0%		3.0%
Logistics services	2.0%	4.9%	2.0%		2.0%
Post and parcels	-2.5%	4.0%	-2.5%		-0.5%

Source: CBS, KIM, Prorail, ING Research *passenger and freight transport

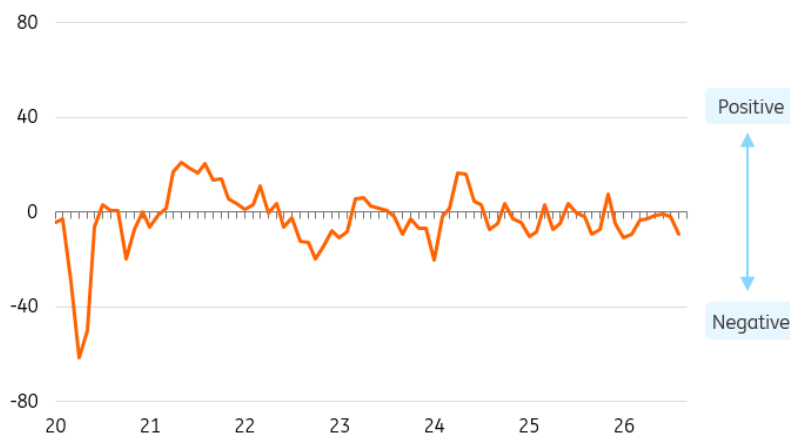
Economic growth generating different transport demand

Industry, construction and trade remain the traditional core customers for freight transport and account for roughly three-quarters of transport and logistics activity.

However, the Dutch economy is becoming increasingly service-oriented. The fastest-growing sectors, particularly business services and healthcare, generate less freight demand than traditional industrial sectors. The nature of industry itself is changing as growth shifts toward machinery manufacturing and high-tech production, including companies such as ASML.

Transport and logistics companies still slightly negative about business climate

Assessment by transport and logistics companies of the expected economic climate*



Source: CBS

Mixed business sentiment

Business sentiment remains cautious. Conditions vary considerably between market segments, while uncertainty, rising costs and substantial investment requirements weigh on confidence.

Global supply chains are being affected by geopolitical tensions, protectionism and more frequent extreme weather events. These disruptions create operational challenges but also opportunities for logistics providers and support freight rates in maritime shipping.

Moreover, businesses have become increasingly accustomed to operating in a volatile environment, making them more resilient than in previous periods of disruption.

Bankruptcy rates are rising in road transport, but remain relatively low overall

Share of bankruptcies, first half of each year



Source: CBS, ING Research

Rising costs are testing financial resilience

Cost inflation remains the dominant theme across the sector. Fuel prices, wages and new charges such as the truck toll have increased sharply, while higher interest rates are adding to financing costs.

Passing these costs on to customers remains crucial. Business surveys indicate growing financial pressure, which is likely to affect profitability across parts of the sector.

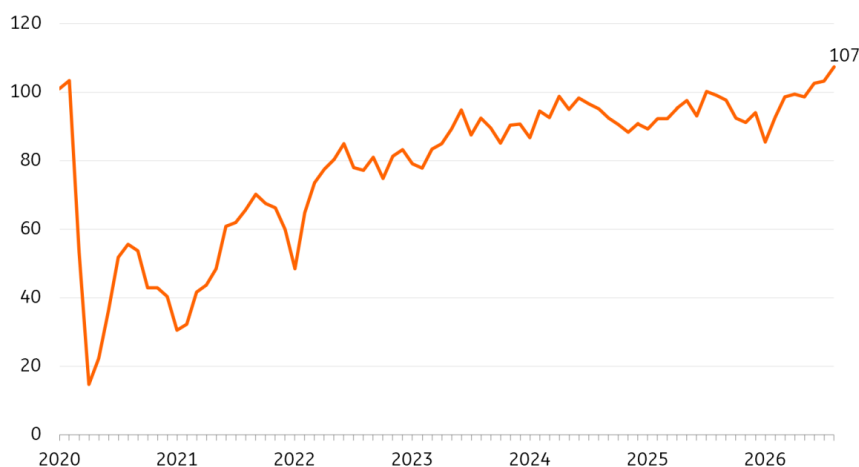
Bankruptcies increased during the first half of 2026, particularly in road transport, and may rise further during the second half of the year. Even so, levels are moderate by historical standards.

At the same time, merger and acquisition activity continues to increase. Smaller firms without succession plans and companies facing major investments in electrification, digitalisation and compliance are increasingly opting to sell.

Passenger Transport

Public transport volume with summer push (temporarily) back above covid level

Number of public transport check-ins per month in The Netherlands (2019=100)



Source: Translink, ING Research

Public transport recovery exceeds expectations

Supported by the government's summer travel subscription initiative, public transport usage temporarily exceeded pre-pandemic levels for the first time. On a per-capita basis, however, passenger volumes have not yet fully recovered because the Dutch population has expanded by 4.5% since 2019.

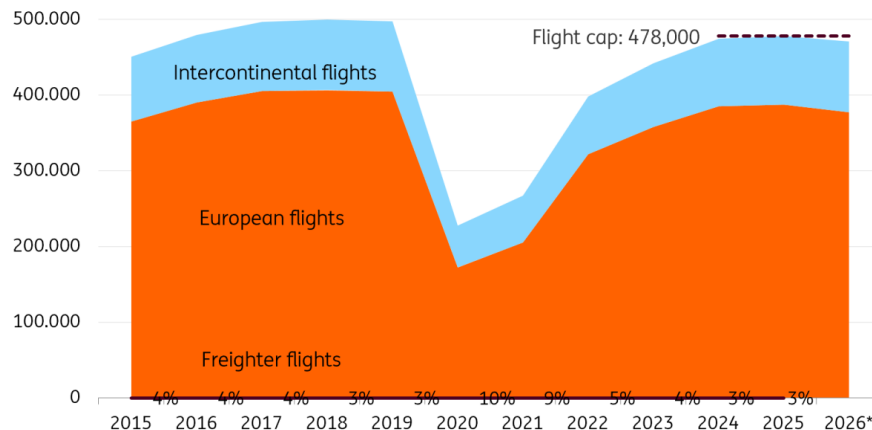
Passenger numbers may ease somewhat after summer, but the recovery is progressing faster than previously anticipated. Rail punctuality has improved, although infrastructure projects and a cumulative 13% rise in ticket prices since early 2025 continue to create headwinds.

Travel patterns are permanently different from before the pandemic, with demand spread

more evenly across the week. Regional public transport continues to lag due to budget reductions, route cancellations and reduced frequencies.

Schiphol is likely to have limited room for growth in 2027

Number of flights Schiphol to type, per year



Source: Schiphol *Forecast ING Research

Aviation: Capacity constraints and rising costs

Schiphol recorded approximately 4% fewer flights through July than a year earlier. Poor weather, temporary weakness in demand during the Middle East conflict and flight cancellations linked to higher jet fuel costs contributed to the decline.

Demand recovered quickly despite higher ticket prices, suggesting that underlying conditions remain robust. Schiphol already operates close to its practical capacity limit of roughly 478,000 flights annually, meaning future growth will depend primarily on larger aircraft and higher load factors.

Government plans call for the opening of Lelystad Airport for commercial aviation by the end of 2027, which could shift around 10,000 European flights away from Schiphol. Given repeated delays, however, implementation remains uncertain.

Meanwhile, more Dutch passengers are increasingly using airports in Belgium and Germany.

Ticket prices continue to rise

Airfares have increased substantially over recent years and were around 7.5% higher during summer 2026 than a year earlier. Elevated jet fuel costs are the main driver.

European dependence on imported jet fuel and high refining margins suggest fuel costs will

remain elevated. Airlines therefore still face pressure to raise fares.

Additional upward pressure comes from stricter sustainability policies, including the full phase-out of free emissions allowances for intra-European flights, increasing sustainable aviation fuel requirements and the planned distance-based aviation tax from 2027 (up to almost €60 from a flat €30).

Freight Transport

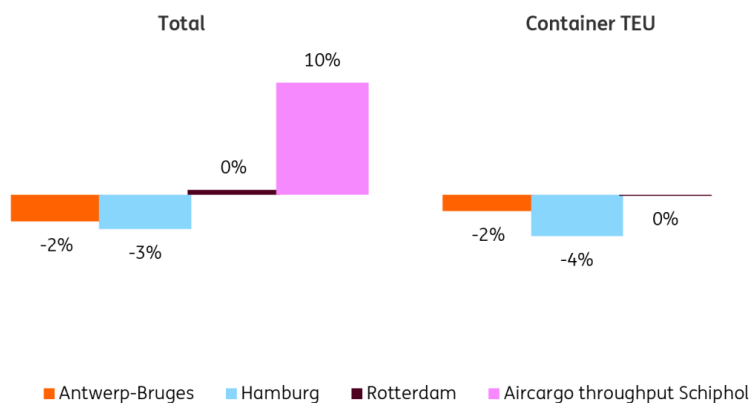
Logistics providers benefit from volatility

Logistics service providers continue to outperform much of the broader transport sector. The outsourcing of supply chain activities, combined with growing uncertainty in global trade, has strengthened their strategic role.

Demand for reliability, speed and supply chain resilience is still growing, particularly for high-value products. Combined with relatively high air and ocean freight rates, these trends should support another solid year for many logistics providers.

Port throughput and container volumes under pressure, while air freight benefits as a fast option

Development in cargo throughput at major seaports and at Schiphol in the first half of 2026 (by tonnage, year-on-year)



Source: Port authorities

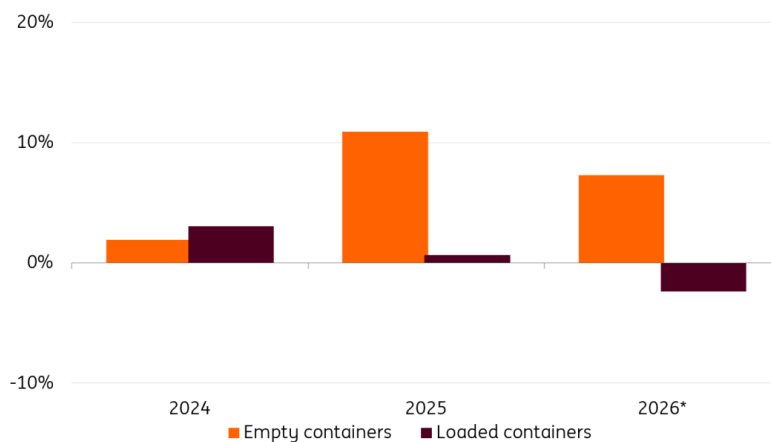
Global trade continues to grow

The anticipated slowdown in global goods trade has not materialised. Growth remained near 5% during the first half of 2026, supported largely by continued export expansion from China.

Although much of this trade bypasses European ports, globally active Dutch shipping companies continue to benefit. Disruptions in the Red Sea, Black Sea, Strait of Hormuz and Panama Canal are maintaining longer sailing distances, supporting demand for shipping services.

Strong growth of empty container volumes in the Port of Rotterdam

Growth throughput of loaded and empty containers y.o.y.



Source: Port of Rotterdam, ING Research *1st half

Empty container movements continue to surge

Container throughput in Rotterdam was broadly stable in the first half of 2026, but empty-container volumes rose significantly. Similar trends are visible in Antwerp-Bruges.

This reflects widening trade imbalances between Europe and Asia, particularly China's growing export surplus. Increasing empty-container movements create congestion and operational inefficiencies, while supply chain disruptions push global port congestion to elevated levels.

At Rotterdam, terminal capacity constraints remain a bottleneck. Planned expansions on Maasvlakte 2 should provide some relief from 2027 onwards.

Inland shipping benefits from low water levels

Exceptionally low water levels have once again restricted inland shipping capacity. Loading limitations and tight vessel availability have pushed freight rates higher and are likely to result in a financially strong year for inland operators.

Structurally, however, recurring disruptions are problematic because they may encourage

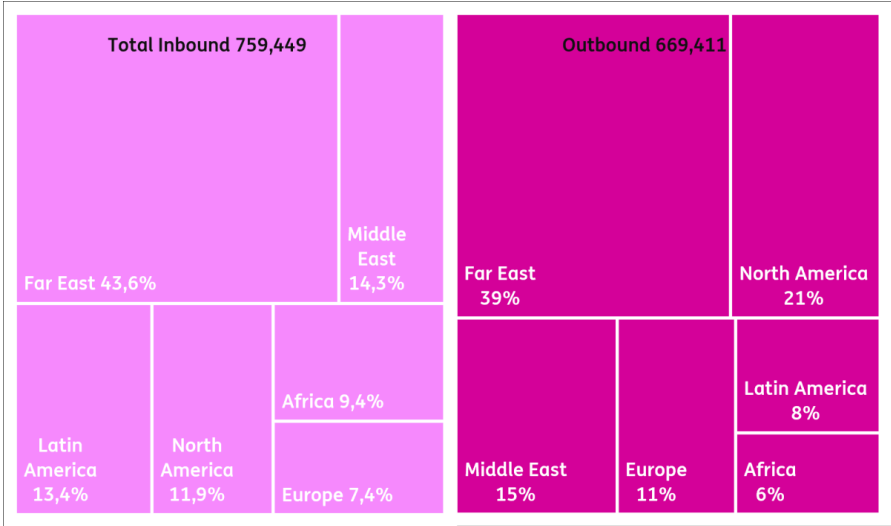
shippers to shift freight to road transport, undermining long-term modal shift ambitions.

Coal volumes continue their long-term decline, particularly in rail freight. Most of the contraction in rail transport over the past decade can be linked to lower coal demand, while intermodal transport expands.

The ability to switch flexibly between transport modes is becoming increasingly important. Ongoing infrastructure works in both the Netherlands and Germany nevertheless remain a constraint for rail freight.

Air freight has extensive connections, with a large share of traffic linked to Asia (China) and the United States

Share of Schiphol air freight volumes by region (inbound and outbound), measured in tonnes, 2026*



Source: Schiphol, ING Research *Up and including July

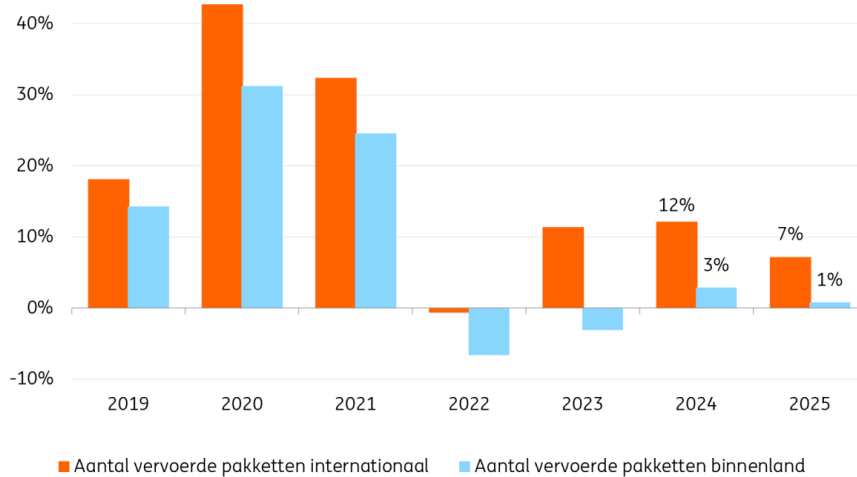
Air cargo thrives amid uncertainty

Air freight remains an attractive option where speed and reliability are critical. Trade uncertainty and supply chain disruptions are supporting demand.

The Asia region has become increasingly important for Dutch air cargo imports, reflecting China's growing role in global trade. While lower Chinese parcel volumes have somewhat reduced growth, demand remains supported by the need for flexibility and resilience.

Parcel delivery has passed peak growth rate, while inflows from Asia slowing amid import tariffs

Growth in number of shipped parcels in The Netherlands y.o.y.



Source: ACM, ING Research

Parcel market matures, while EU import levy kicks in

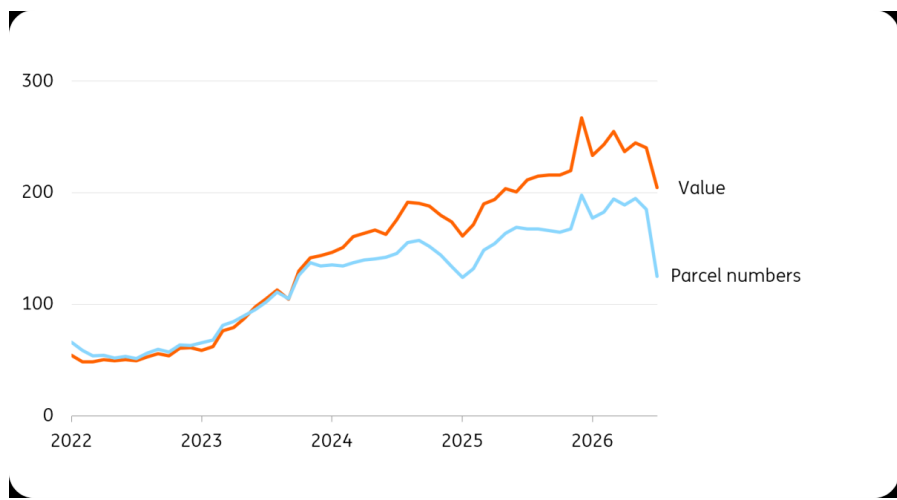
After years of rapid expansion, parcel logistics is entering a more mature phase. Growth is slowing as e-commerce penetration increases, and consumers make greater use of parcel lockers, collection points and store-based fulfilment.

International parcels have been a major growth driver, particularly shipments linked to Chinese online platforms. However, the introduction of the €3 European parcel levy has clearly affected demand, contributing to a marked decline in Chinese parcel volumes during summer 2026.

Part of this traffic is shifting towards consolidated shipments and maritime transport, followed by European fulfilment-centre distribution.

Particularly smaller payments to Chinese webshop faced a setback after the small parcel fee (01/07)

Index (2023 = 100)



Source: ING Transactiondata, ING Research

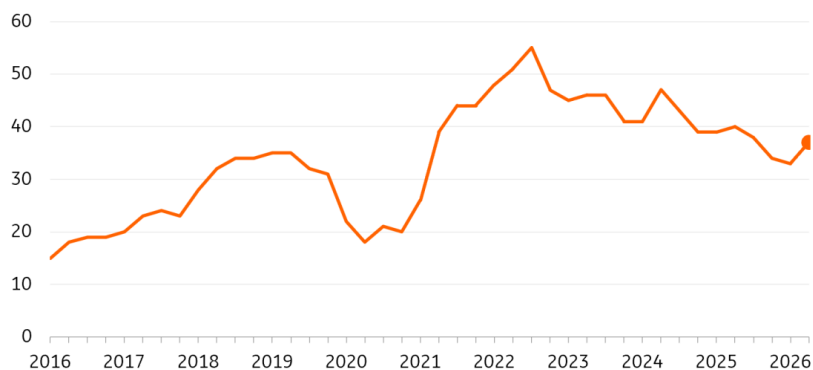
Labour shortages re-emerge

Labour availability remains one of the sector's biggest challenges. Although vacancy rates have eased somewhat, shortages are well above pre-pandemic levels.

Drivers, conductors and warehouse workers are scarce, while shortages of maintenance technicians and IT specialists are becoming increasingly important. Ageing demographics, limited inflows of new workers and elevated sickness absence are constraining labour supply.

Vacancy rate in transport and logistics rising again – and higher than in past

Transport and Logistics Sector Vacancy Rate (Vacancies per 1,000 Jobs), by Quarter (Netherlands)



Source: CBS, ING Research

Domestic transport emissions continue to fall

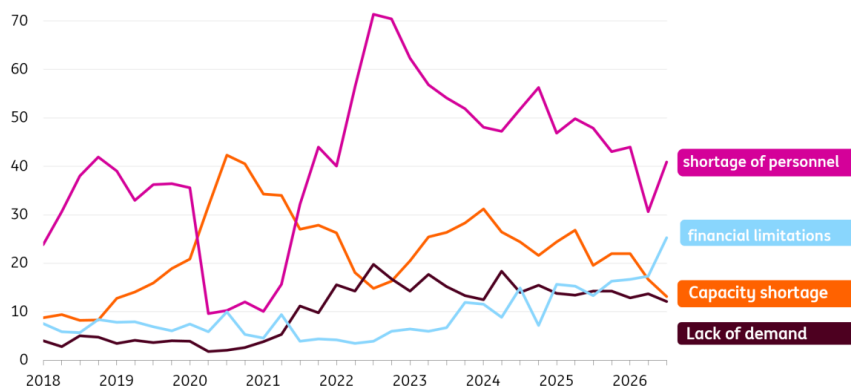
Transport-sector greenhouse gas emissions have fallen significantly since 2019, supported by higher biofuel blending rates, more efficient vehicles and increasing electrification.

However, further reductions are needed to achieve Dutch climate targets for 2030. The sector is not yet fully on track according to the Climate and Energy Outlook.

Looking ahead, the truck charging scheme and rapid growth in electric truck usage should accelerate emissions reductions within freight transport. Together with continued electrification of passenger transport, this will help move the sector closer to its climate objectives.

Demand is recovering, but financial pressure is also increasing

Barriers in transport and logistics, % of companies experiencing each constraint



Source: CBS, ING Research

Author

Rico Luman

Senior Sector Economist, Transport and Logistics

Rico.Luman@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for

any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 23 September 2026

FX

FX Daily: Dollar resilience builds

The dollar has remained firm despite oil and global risk sentiment arguing for a correction. Hawkish Fed speak remains key, and this week underscores the risk that falling oil prices may offer little support to EUR/USD, as markets may be more willing to stick with Fed hike expectations than with the ECB's in an oil price decline. USD upside risks persist



Markets found little direction in Trump's UN address on Tuesday

➔ USD: Staying strong

The dollar continues to show very good resilience to lower energy prices and a risk-friendly environment. It's another sign that the Fed story is dominant, and the hawkish Fed speak is enough to keep USD in demand. Richmond Fed President Thomas Barkin, who becomes a voter in 2027, reinforced that message yesterday, arguing that a single rate hike may not be enough to bring inflation under control. He also noted that resilient labour market conditions should keep consumer spending supported, implying that a dovish shift among the hawks may require clearer signs of labour market softening.

But high-frequency jobs indicators have remained strong. Initial jobless claims are back below 200k and ADP reported a bump in weekly hiring to 20k at the start of September. Consensus is starting to build around a strong September payroll print – around 80-100k.

Geopolitics had a limited impact on FX yesterday. President Trump's UN speech generated few clear market signals, while constructive talks with Iranian delegates and the reopening of the Saudi East-West pipeline pushed Brent below \$100/bbl. Whether this evolves into a more sustained decline remains to be seen. From a rates perspective, oil floating around the \$90-100/bbl range is unlikely to force a dovish rethink in market expectations.

We'll be awaiting more headlines from New York ahead of tomorrow's Trump-Xi meeting. The Fedspeak agenda is quiet today, and the data calendar only includes S&P Global PMIs, which matter less for markets than the ISM surveys. We retain the view that the dollar faces upside risks over the next couple of weeks, when a revamp of data releases can prompt markets to add bets on an October hike. In that context, DXY reaching 101.0 remains a very achievable near-term target.

Francesco Pesole

➔ **EUR: Still downside risks**

EUR/USD is starting to look a tad cheap, as global equities support the pair's short-term fair value. Still, we see little technical justification for fading the current decline before 1.140-1.142, where EUR/USD would be breaching a 1.5 standard deviation misvaluation band, assuming rate differentials remain unchanged.

This week underscored another risk: when oil prices fall, markets may price out ECB tightening faster than Fed tightening. That was a major drag on EUR/USD in June, and any hint of a dovish rethink from ECB speakers could trigger a leg lower.

The next few weeks will determine whether either the ECB or the Fed goes for an October hike. While we still expect the next move from both central banks to come in December, any earlier tightening appears more likely to come from the Fed than the ECB. That leaves the balance of risks skewed to the downside for EUR/USD.

Eyes will be on PMIs today, which in the eurozone have greater monetary policy implications than elsewhere. Expectations are for a slight softening in the eurozone-wide composite gauge from 52.0 to 51.7. Let's see whether budget concerns in France and political developments in Germany have had any impact on sentiment. Meanwhile, the ECB speakers' calendar remains busy today.

Francesco Pesole

⬆ **HUF: A well-paused decision**

The National Bank of Hungary meeting [delivered](#) exactly what the market expected – a pause in the rate-cutting cycle and a reduction of the inflation target from 3.0% to 2.5%. From the market's perspective, this was a case of ticking boxes that had been anticipated since the April

general election. The market remained virtually unchanged in front-end rates following the NBH press conference, with pricing in less than one rate cut over the next 6-9 months, assuming a positive BUBOR spread over the NBH key rate. The curve has flattened significantly over the past two weeks, aligning with our earlier expectations outlined in our NBH preview.

Nevertheless, we see scope for further flattening, even though the curve is already deeply inverted. At the same time, the front end offers a buffer against a potential geopolitical escalation or a spike in energy prices. We believe the market would not hesitate to price in rate hikes at the front end of the curve if energy prices rise again and Hungarian inflation climbs in the coming months (NBH forecast of 3.1% average inflation for next year). Meanwhile, the long end still offers room for convergence trades, and long-term yields should grind lower.

The combination of a lowered inflation target and a halt to rate cuts creates a very positive environment for the FX market. On the other hand, the global backdrop remains largely negative, despite the recent relief rally. The US dollar is at record strength, EUR/HUF remains highly sensitive to energy prices, and Fed rate hikes could trigger renewed pressure on emerging market currencies, which have shown remarkable resilience so far. The overall picture is thus very mixed, and global factors could easily take the driver's seat. Although our bias remains bullish for the forint, and we could retest the 360 EUR/HUF level, further developments are heavily dependent on global factors at this moment.

Frantisek Taborsky

➔ CEE: FX stability masks diverging rate outlooks

The region is benefiting from improved global sentiment and lower energy prices, prompting markets to scale back expectations for aggressive rate hikes. Czech rates, the most hawkish in the region, price around 100bp of tightening, versus 85bp in Poland. Today's calendar is again light, with only August Polish labour market data due. Despite continued rates volatility, FX remains stable. In our view, opposing forces are broadly balancing out and keeping CEE currencies steady: a stronger US dollar is weighing on the region, while improved sentiment and lower energy prices have yet to offset its impact.

Local drivers remain limited this week, and fresh catalysts may take time to emerge. We expect a more hawkish CNB to push EUR/CZK lower again, but this is unlikely in the near term unless Friday's minutes strike a surprisingly hawkish tone. By contrast, we see further upside in EUR/PLN given the central bank's dovish stance. Potential government measures to cut petrol prices could complicate the outlook: if approved, they might allow the central bank to postpone rate hikes, while also weakening the interest-rate differential and putting downward pressure on the zloty.

Frantisek Taborsky

Author

Frantisek Taborsky

EMEA FX & FI Strategist

frantisek.taborsky@ing.com

Francesco Pesole

FX Strategist

francesco.pesole@ing.com

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE

chris.turner@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 22 September 2026

FX HUNGARY

National Bank of Hungary review: A well-paused decision

The National Bank of Hungary is not simply doing nothing. Keeping rates unchanged is an active, considered decision, backed by an upwardly revised inflation outlook and a new inflation target from 2028. In our view, this well-judged pause does not necessarily mark the end of the easing cycle. We still see some chance of rate cuts within six months



The National Bank of Hungary kept the base rate at 5.50% and Governor Varga sounded hawkish at the press conference

5.50%

As expected

Key interest rate

Unchanged

ING's policy view: We see scope for further cuts in six months

The National Bank of Hungary held the base rate at 5.50% on 22 September, pressing the pause button after the 'mini rate cut cycle' throughout the summer.

Looking ahead, we believe that local politics will honour previous commitments regarding the euro adoption plan, particularly with regard to the medium-term fiscal trajectory, and that EU funds will arrive as expected during the fourth quarter. We expect inflation to remain low and stay below the central bank's inflation target (3%) for the rest of the year, although we anticipate some acceleration in the months ahead, mostly on fuel and services.

Against this backdrop, the biggest limiting factor for potential future interest rate cuts will be the risk environment. [Our base case](#) anticipates a limited stabilisation agreement covering the Strait of Hormuz, military de-escalation and possible sanctions relief following the US mid-term elections in November. This could result in a drop in energy prices towards the end of the year, paving the way for monetary easing in Hungary.

If the risk premium for Hungarian assets drops alongside a general improvement in risk sentiment, we see a chance for two or even three rate cuts in the next six months. We forecast the base rate to reach 5.25% by the end of 2026, with a further reduction to 4.25–4.50% expected by the end of 2027.

ING's market views

Today's NBH meeting delivered exactly what the market expected – a pause in the rate-cutting cycle and a reduction of the inflation target. From the market's perspective, this was a case of ticking boxes that had been anticipated since the April general election. The market remained virtually unchanged in front-end rates following the NBH press conference, with pricing in less than one rate cut over the next 6–9 months, assuming a positive BUBOR spread over the NBH key rate. The curve has flattened significantly over the past two weeks, aligning with our earlier expectations outlined in our NBH preview.

Nevertheless, we see scope for further flattening, even though the curve is already deeply inverted. At the same time, the front end offers a buffer against a potential geopolitical escalation or a spike in energy prices. We believe the market would not hesitate to price in rate hikes at the front end of the curve if energy prices rise again and Hungarian inflation climbs in the coming months (NBH forecast of 3.1% average inflation for next year). Meanwhile, the long end still offers room for convergence trades, and long-term yields should grind lower.

The combination of a lowered inflation target and a halt to rate cuts creates a very positive environment for the FX market. On the other hand, the global backdrop remains largely negative, despite the recent relief rally. The US dollar is at record strength, EUR/HUF remains highly sensitive to energy prices, and Federal Reserve rate hikes could trigger renewed pressure on emerging market currencies, which have shown remarkable resilience so far. The overall picture is thus very mixed, and global factors could easily take the driver's seat. Although our bias remains bullish for the forint, and we could retest the 360 EUR/HUF level, further developments are heavily dependent on global factors at this moment.

Our three takeaways from the presser

1. Overall, the tone of the rate-setting meeting and the following presentation can be considered as hawkish with some flexibility added with the data-driven mode. During the press conference, Governor Varga specifically said that this approach gives the Monetary Council the opportunity to cut or hold the rate based on incoming information.
2. The agenda was unusually – though expectedly – packed, with the Monetary Council adopting a new inflation target of 2.5% from 1 January 2028 to start paving the way for eurozone membership and bring Hungary into line with the best practices of regional and developed economies. However, this is not just for the sake of euro adoption; recent developments (foreign exchange stability, inflation expectations and actual inflation) are also making it possible. In line with best practice, the NBH will hold eight rather than twelve rate-setting meetings from 2027. This less frequent meeting cycle will allow for more robust decision-making, supported by more data, while the Monetary Council can still meet at any time if the situation warrants it.
3. Governor Varga once again emphasised the importance of FX market stability in reducing and anchoring inflation expectations. These expectations, as well as the perceived inflation by households, have shown further improvement in the third quarter of 2026. We believe that the central bank's implied objective is to maintain the EUR/HUF exchange rate within its most recent range, while reducing volatility, which could lead to a monetary easing in the foreseeable future.

Updated GDP and CPI forecasts of the NBH (% YoY)

	2026	2027	2028
Change in real GDP - Sept projection	1.8	2.9	2.8
Previous NBH projection	2.0	3.0	2.9
Change in consumer prices - Sept projection	1.8	3.1	2.5
Previous NBH projection	1.8	2.3	3.0

Source: NBH, ING

The updated GDP & CPI forecasts

The full macroeconomic assessment and outlook will be published alongside the September Inflation Report on 24 September. Based on the latest GDP and inflation forecasts, the NBH's updated outlook aligns with our expectations.

The unfavourable developments in agriculture have worsened the economic outlook, but the negative impact has been somewhat limited by stronger export activity in the

industrial sector. Against this backdrop, the central bank revised its GDP forecast downwards, which roughly matches our latest projections. Regarding inflation, the significant upward revision to the 2027 figure is mostly driven by the energy price shock but also sees some contribution from the recently announced excise duty hikes. However, we estimate that the latter is only having a 0.1ppt impact, with the rest being driven by energy prices. The 2028 inflation projection is in line with the new target.

Regarding alternative scenarios, the Monetary Council highlighted six, four of which were labelled as the most relevant. From both an economic activity and an inflation point of view, the risks are fully balanced, supporting the re-enabled data-driven approach.

Author

Peter Virovacz

Chief Economist, Hungary

peter.virovacz@ing.com

Frantisek Taborsky

EMEA FX & FI Strategist

frantisek.taborsky@ing.com

Zoltán Homolya

Economic research trainee

zoltan.homolya@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V.,

THINK Economic and financial analysis

London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 21 September 2026

RATES FRANCE

France's elusive €54bn fiscal fix

France's fiscal position is worse than expected, and the government has not yet presented a fully documented response. Debt will keep rising, while political fragmentation means that a credible long-term solution is unlikely to emerge soon



France's fiscal position continues to deteriorate and there appears to be no long-term solution

A much tougher starting point for 2027

France's fiscal outlook has deteriorated again. The government now expects the public deficit to reach 5.4% of GDP in 2026, up from the 4.6% objective set at the start of the budgetary process and the 5.1% recorded in 2025. Weaker activity plays an important role in the explanation. The government has cut its 2026 growth forecast from 1% to 0.5%, reducing tax revenues, while energy-related support measures and higher interest expenditure have increased public spending.

The starting point for the 2027 budget is even more challenging. According to the government, the deficit could reach 6.5% of GDP without new corrective measures, as ageing-related expenditure, indexed pensions and benefits, debt-servicing costs and other commitments continue to rise, while temporary tax measures expire or are reduced. The required adjustment has also increased substantially: debt-servicing costs alone are expected to rise by around €10bn in 2027. A growing share of any fiscal effort will therefore be needed to offset higher interest expenditure.

A €54bn ambition, but few details

Prime Minister Sébastien Lecornu has announced a budgetary effort of around €54bn to limit the deficit to 5% of GDP in 2027. However, this remains a political objective rather than an adopted or fully documented plan. The government has not explained in detail how the figure was calculated, although some measures are already known.

These include freezing central government expenditure in nominal terms outside defence, restraining local government spending, freezing the civil-service pay scale, limiting increases in some pensions and benefits, saving €2bn on sick leave and extending the temporary corporate tax surcharge at a lower rate. Net public expenditure is expected to rise by 0.7% in 2027, after 1.4% in 2026. Spending would therefore continue to increase, but its share of GDP would decline slightly from 57.1% to 56.9%, despite higher defence and debt-servicing costs.

The adjustment would also rely heavily on revenues. The tax-to-GDP ratio is expected to rise from 43.9% to 44.2%, despite the government's pledge of fiscal stability. No broad-based tax increase has been announced; income-tax brackets would remain indexed to inflation and the corporate surcharge would be reduced. The government expects €1bn from stronger action against fraud and plans to review some tax breaks, but it has not explained where the rest of the additional revenue would come from. The package therefore remains only partly documented.

The €54bn headline also carries a political message. It highlights to French MPs the cost of rejecting the budget or bringing down the government, while warning the next administration about the challenge it would inherit. But adoption is far from certain. Without a parliamentary majority, the government must either negotiate enough support or resort to Article 49.3, at the risk of a no-confidence motion. The 5% deficit target therefore remains an ambition rather than a secured outcome. What is beyond doubt is that France faces a very substantial fiscal adjustment.

Debt is still moving in the wrong direction

This deterioration comes amid an already high debt burden. Public debt reached €3.54tr, or 117.5% of GDP, in the first quarter of 2026, up from 115.7% at the end of 2025. The government expects it to rise further, to 119.3% in 2026 and 121.7% in 2027. Even if the deficit falls to 5% next year, the budget would only slow the deterioration, not stabilise the debt ratio.

This leaves France increasingly exposed to higher refinancing costs. The implicit interest rate on public debt has risen from 1.25% in 2020 to around 2% in 2025. The European Commission's May forecast put it at 2.3% in 2026 and 2.43% in 2027, but the subsequent increase in market yields suggests that the eventual cost could be higher. With average debt maturity at around eight-and-a-half years, the pass-through will be gradual but persistent.

France is drifting further from its European commitments

The new targets represent a substantial departure from France's European commitments. Under the previous fiscal path, the deficit was expected to fall to 4.6% of GDP in 2026, 4.1% in 2027 and 3.4% in 2028, before moving below the EU's 3% threshold in 2029. The new figures for 2026 and 2027 are respectively 0.8 and 0.9 percentage points higher. A deficit of 5% in 2027 would leave France with more than two percentage points of adjustment to deliver in just two years to return below 3% in 2029. Such an adjustment appears highly unlikely, meaning that the commitment no longer looks credible.

A lasting solution will have to wait

France is no longer dealing only with a cyclical budget miss. Lower growth has worsened the near-term figures, but structural spending pressures and a rising interest bill are also widening the deficit. Even if the full €54bn effort is delivered, the deficit would remain far above the European threshold and insufficient to stabilise the debt ratio.

A credible multi-year consolidation plan is unlikely to emerge soon. The presidential election will take place on 18 April and 2 May 2027 and is likely to be followed by parliamentary elections, but there is a high risk that no clear majority will emerge. In that case, even an administration committed to stabilising the debt would struggle to approve and implement the necessary measures.

A different risk is that the next administration may simply choose not to prioritise fiscal consolidation, as some candidates are focusing more on new spending or reallocating expenditure than on reducing the deficit. France's ability to address its debt problem will therefore depend both on the next government's fiscal priorities and on whether it can secure sufficient parliamentary support to implement them.

Charlotte de Montpellier

Bond spreads will remain under widening pressure for now

The widening dynamic of French government bond spreads versus Germany accelerated last week after the government's budget plans again highlighted the magnitude of the problem and the difficult political path ahead. The widely watched 10y benchmark spread topped 100bp, reaching highs not seen since 2012.

On Friday, the rating agency DBRS lowered the outlook on its AA rating for France to negative. The agency Scope downgraded France to A+/Stable and cited the deteriorating fiscal outlook. Moody's, with its rating still at Aa3/Negative, is due to review on 23 October and could be next to lower its rating. One can, of course, view this as catching up with Fitch and S&P, both of which already have France at A+. The stable outlooks for these single-A ratings can also

argue for some reprieve. But the latest actions highlight that patience might be wearing thin after political turmoil that has basically been ongoing since the summer of 2024.

Arguably, a lot of the political and fiscal risk is already priced into the spread. 10y French bonds yield more than 10bp above their Italian counterpart, with debt metrics worse than France, lower ratings but arguably a less uncertain political landscape and a more domestic investor base that is deemed less volatile. Foregone carry also means positioning against France is also a costly affair.

But timelines don't play in favour of French government bonds – the 2027 budget now, the presidential election early next year, likely followed by parliamentary elections and then government formation. That means the positives for spread dynamics will likely have to come from somewhere else. Spreads have shown a greater correlation with oil prices as a gauge of geopolitical tensions. While we still eye an easing of tensions after the US mid-term elections, the Middle East conflict has already dragged on for longer than hoped.

One important backstop to the spread dynamics is the ECB and its Transmission Protection Mechanism (TPI). On paper, the conditionality of deploying TPI looks very strict, but we would argue the ECB has a lot of discretion when the broader market functioning is deemed at risk. However, the hurdle for the ECB to engage in bond purchases might be higher in the current situation where the central bank is focused on inflation and eyeing further tightening.

For now, we are looking at the widest spreads since the sovereign debt crisis of 2011/2013. French 10y spreads over German Bunds peaked just below 190bp back then, and it eventually took Draghi's famous "whatever it takes" in summer 2012 to turn the tide for good. We do not think we will head that far as the ECB precedent has been set. But without any positive developments in the Middle East and/or more encouraging headlines out of the political arena, the 10y spread could occupy a range of 100 to 125bp in the coming months.

Author

Charlotte de Montpellier

Senior Economist, France and Switzerland

charlotte.de.montpellier@ing.com

Benjamin Schroeder

Senior Rates Strategist

benjamin.schroeder@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for

information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.